A Project Report on

Fraud Lens: An AI-Powered System for Detecting and Preventing E-Commerce Refund Abuse

submitted in partial fulfillment of the requirements for the award of the degree of

BACHELOR OF ENGINEERING

By

Devansh Mane: 22106062

Harshit Jain: 22106040

Vedant Gandre: 22106011

Under the Guidance of

Prof. Sumeet Shingi

Department of Computer Science & Engineering

(Artificial Intelligence & Machine Learning)

A.P. SHAH INSTITUTE OF TECHNOLOGY, THANE

UNIVERSITY OF MUMBAI

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A. P. SHAH INSTITUTE OF TECHNOLOGY, THANE

CERTIFICATE

This is to certify that the project entitled "Fraud Lens: An AI-Powered System for Detecting and Preventing E-Commerce Refund Abuse" is a bonafide work **Devansh Mane (22106062), Harshit Jain (22106040), Vedant Gandre (22106011)** submitted to the University of Mumbai in partial fulfilment of the requirement for the award of the degree of **Bachelor of Engineering** in **Computer Science & Engineering (Artificial Intelligence & Machine Learning**).

Prof. Sumeet Shingi Guide	Prof. Sayali P. Badhan Project Co-ordinator
Dr. Jaya Gupta Head of Department	Dr. Uttam D. Kolekar Principal

A. P. SHAH INSTITUTE OF TECHNOLOGY, THANE

Project Report Approval for B.E.

This project report entitled ***Fraud Lens: An AI-Powered System for Detecting and Preventing E-Commerce Refund Abuse*** by **Devansh Mane, Harshit Jain, Vedant Gandre** is approved for the degree of ***Bachelor of Engineering*** in ***Computer Science & Engineering (Artificial Intelligence & Machine Learning)***, ***2025-26***.

Examiner Name	Signature
1._____	_____
2._____	_____

Date:

Place:

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Devansh Mane(22106062)

Harshit Jain(22106040)

Vedant Gandre(22106011)

Date:

Abstract

Refund abuse in e-commerce has emerged as a significant challenge, leading to financial losses and operational inefficiencies across online platforms. It occurs when customers exploit return policies by repeatedly requesting refunds for used, damaged, or falsely claimed defective products. Such activities are often systematic and can bypass traditional rule-based detection systems, which fail to adapt to evolving fraud strategies. With the rapid growth of online transactions, the impact of refund abuse has intensified, affecting business revenue, logistics operations, and overall customer satisfaction.

To address this issue, the proposed system Fraud Lens introduces a machine learning-based framework designed to detect fraudulent return patterns while maintaining a smooth experience for genuine users. The system processes large-scale transaction and return data to identify anomalies and hidden behavioral patterns. It calculates a Return Rate Percentage for each user to distinguish high-risk users and continuously improves through learning from historical data. Additionally, it incorporates a price comparison module that not only enhances user experience by providing the best deals but also helps detect suspicious price-sensitive behaviors linked to refund abuse.

The framework further utilizes multiple machine learning models to uncover complex relationships in data and applies natural language processing (NLP) techniques to generate clear explanations of detected fraud cases. This reduces manual investigation efforts and enables faster, more efficient decision-making. Overall, Fraud Lens offers a scalable and intelligent solution that strengthens fraud detection, improves platform reliability, and enhances user trust. Furthermore, the system aligns with key Sustainable Development Goals (SDGs) by promoting innovation and strengthening digital infrastructure (SDG 9), supporting economic growth through reduced fraud losses (SDG 8), and enhancing transparency and trust in digital platforms (SDG 16).

Keywords: Refund Abuse Detection, E-commerce Fraud, Machine Learning, Behavioral Analysis, Anomaly Detection, Price Comparison, Natural Language Processing (NLP), Fraud Prevention.

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ABBREVAION

AI	*Artificial Intelligence*
ML	*Machine Learning*
DL	*Deep Learning*
NLP	*Natural Language Processing*
GNN	*Graph Neural Network*
API	*Application Programming Interface*
UI	*User Interface*
DFD	*Data Flow Diagram*
RRP	*Return Rate Percentage*
RF	*Random Forest*
SVM	*Support Vector Machine*
NN	*Neural Network*
XGB	*Extreme Gradient Boosting (XGBoost)*
SQL	*Structured Query Language*
DBMS	*Database Management System*
AUC	*Area Under Curve*
TP	*True Positive*
TN	*True Negative*
FP	*False Positive*
FN	*False Negative*

Chapter 1

Introduction

1. Introduction

The exponential growth of e-commerce platforms over the past decade has revolutionized the way consumers interact with retail markets. Online shopping has become increasingly popular due to its convenience, wide product availability, and competitive pricing. To further enhance customer satisfaction and build trust, most e-commerce platforms have implemented flexible return and refund policies. While these policies provide significant benefits to genuine customers, they have also unintentionally opened avenues for fraudulent activities, one of the most prominent being refund abuse. Refund abuse refers to the deliberate misuse of return and refund policies by customers for personal gain. This may include repeatedly purchasing products and returning them after use, falsely claiming defective items, or exploiting loopholes in refund systems. Such practices result in substantial financial losses for sellers, increase operational costs, and negatively impact the overall efficiency of e-commerce ecosystems. As online transactions continue to grow in volume and complexity, detecting and preventing such fraudulent behavior has become a critical challenge.

Traditional approaches to fraud detection, such as manual verification and rule-based systems, are often insufficient in handling large-scale and dynamic datasets. These methods fail to capture complex behavioral patterns and are not scalable for real-time applications. Therefore, there is a need for intelligent, data-driven systems that can analyze customer behavior, identify suspicious patterns, and assist in decision-making processes. The "Refund Abuse Detection System" is proposed as a comprehensive solution to address this issue. The system leverages historical transactional data, advanced data preprocessing techniques, feature engineering, and machine learning algorithms to detect and classify fraudulent refund behavior. Unlike conventional systems, this approach focuses on identifying behavioral trends rather than relying solely on predefined rules, making it more adaptable and efficient. In addition to fraud detection, the project also incorporates a user-centric feature in the form of a price comparison module. This dual-purpose design ensures that the system not only safeguards sellers from fraudulent activities but also enhances the shopping experience for genuine users. By combining analytical intelligence with practical usability, the project demonstrates a holistic approach to solving real-world problems in the e-commerce domain.

1.1 Refund Abuse Detection System

The seller-side component of the system is primarily focused on identifying and mitigating fraudulent refund activities. This module is designed to analyze customer transaction data and detect patterns that indicate potential abuse of return policies. The process begins with the collection of historical transactional datasets, which include information such as customer purchase history, return frequency, order values, and timestamps. This data serves as the foundation for understanding customer behavior and identifying anomalies. Before analysis, the data undergoes extensive preprocessing to ensure accuracy and consistency. This includes cleaning the data by removing duplicates and inconsistencies, handling missing values through imputation techniques, and normalizing numerical features to bring them onto a common scale. Proper preprocessing is essential as it directly impacts the performance of the machine learning models. Following preprocessing, feature engineering is performed to extract meaningful insights from the raw data. Key features such as return ratio purchase-return consistency, and transaction frequency are derived. These features play a crucial role in capturing behavioral patterns that may indicate fraudulent activity.

To establish a baseline understanding, a rule-based classification system is initially implemented. In this approach, customers are categorized into three risk levels based on their return rate: low-risk (below 40%), moderate-risk (40%–80%), and high-risk (above 80%). This classification helps in quickly identifying potentially suspicious users and provides a simple yet effective method for early-stage filtering. To further enhance detection accuracy, machine learning models are employed. Algorithms such as Logistic Regression and Random Forest are used to classify users based on their behavioral patterns. Logistic Regression provides a strong baseline model, while Random Forest, being an ensemble method, is capable of capturing complex, non-linear relationships within the data. One of the key challenges in fraud detection is the imbalance in datasets, where fraudulent cases are significantly fewer than legitimate ones.. The performance of the models is evaluated using standard metrics such as precision, recall, F1-score, and confusion matrix analysis. Precision ensures that the system minimizes false positives, while recall focuses on correctly identifying actual fraudulent cases. The F1-score provides a balance between these two metrics, ensuring overall effectiveness. The seller-side module ultimately enables businesses to make informed decisions regarding refund approvals. By identifying high-risk users in advance, sellers can take preventive measures, reduce financial losses, and maintain operational efficiency. This system not only improves fraud detection but also contributes to building a more secure and trustworthy e-commerce environment.

1.2 Price Comparison Module

While the primary focus of the project is fraud detection, equal importance is given to enhancing the experience of genuine users. For this purpose, a price comparison module is integrated into the system, providing additional value and practicality. The price comparison module allows users to compare the prices of products across multiple e-commerce platforms. In today's competitive market, the same product is often available at different prices on different platforms. Manually searching for the best deal can be time-consuming and inefficient. This enables users to make informed purchasing decisions and maximize cost savings. From a system design perspective, the inclusion of this module demonstrates the integration of analytical and user-centric features within a single platform. While the fraud detection system focuses on protecting sellers, the price comparison module ensures that genuine users benefit from the system, thereby maintaining a balanced ecosystem. Furthermore, this feature highlights the scalability of the project, as it can be expanded to include additional functionalities such as product recommendations, deal alerts, and personalized suggestions based on user preferences.

Chapter 2

Literature Survey

2. Literature Survey

[1] Fraud Detection and Prevention in E-Commerce: Machine Learning Approaches to Secure Transactions (2024)

This study focuses on the application of machine learning techniques to enhance fraud detection in e-commerce transactions. The authors propose a system that analyzes transaction patterns, customer behavior, and anomaly indicators to identify suspicious activities. Various classification algorithms such as Logistic Regression, Decision Trees, and Random Forest are utilized to improve detection accuracy. The system evaluates features like transaction frequency, payment inconsistencies, and account behavior to classify transactions as legitimate or fraudulent. The results demonstrate that machine learning models significantly improve fraud detection performance compared to traditional rule-based systems by reducing false positives and increasing detection accuracy. However, the approach primarily relies on historical data patterns and lacks the ability to effectively detect evolving and adaptive fraud strategies in real-time environments.

[2] Investigating Return Behavior in E-commerce: A Data-Driven Study (2024)

This research presents a data-driven analysis of customer return behavior in e-commerce platforms. The study examines various factors such as return frequency, product categories, customer purchase habits, and timing of return requests to identify behavioral patterns. Using statistical analysis and clustering techniques, the system categorizes customers based on their return tendencies and identifies potential cases of refund abuse. The findings highlight that repeated return behavior and abnormal return patterns can indicate misuse of return policies. The study provides valuable insights for optimizing return policies and improving customer management strategies. However, the research does not integrate machine learning-based fraud detection mechanisms, limiting its ability to automatically detect and classify fraudulent return activities.

[3] Machine Learning Pipeline for Fraud Detection and Prevention in E-Commerce Transactions (2019)

This paper proposes a structured machine learning pipeline for detecting fraud in e-commerce transactions. The system includes multiple stages such as data preprocessing, feature engineering, model training, and performance evaluation. The pipeline is designed to handle large-scale transaction data and improve classification accuracy through systematic processing. The authors emphasize the importance of feature selection and data cleaning in enhancing model performance. Experimental results show that a well-designed pipeline can significantly improve fraud detection efficiency and scalability. However, the study mainly focuses on offline analysis and does not address real-time deployment challenges, which limits its applicability in dynamic e-commerce environments.

[4] Improving E-commerce Fraud Detection via Machine Learning: Comparative Evaluation of Model Effectiveness (2024)

This study provides a comparative evaluation of different machine learning models used for fraud detection in e-commerce systems. The authors analyze models such as Support Vector Machines, Random Forest, and Gradient Boosting based on performance metrics like accuracy, precision, recall, and F1-score. The research highlights that ensemble-based models generally outperform individual models in detecting fraudulent transactions. It also emphasizes the importance of selecting appropriate models based on dataset characteristics and imbalance handling.

[5] Fraud Detection in E-commerce Transactions: A Machine Learning Perspective (2024)

This paper explores various machine learning approaches for detecting fraud in e-commerce transactions. The study discusses both supervised and unsupervised learning techniques, including classification models and anomaly detection methods. The system analyzes transaction data, customer behavior, and historical patterns to identify suspicious activities. The findings indicate that combining multiple learning techniques can improve fraud detection accuracy and robustness. However, the study does not explore advanced hybrid or deep learning-based approaches in depth, which limits its effectiveness in detecting complex and evolving fraud patterns.

[6] Enhancing Fraud Detection in Banking and E-Commerce With Deep Learning: Graph Neural Networks and Autoencoders (2024)

This research introduces advanced deep learning techniques such as Graph Neural Networks (GNNs) and Autoencoders for fraud detection. The system models relationships between users, transactions, and entities to capture hidden patterns and detect sophisticated fraud activities. GNNs help in analyzing network-based interactions, while autoencoders identify anomalies in high-dimensional data. The results show improved detection accuracy compared to traditional methods. However, the model requires high computational resources and complex implementation, making it challenging to deploy in real-time systems.

[7] Hybrid Machine Learning-Based Multi-Stage Framework for Detection of Credit Card Anomalies and Fraud (2024)

This paper proposes a hybrid multi-stage framework that combines multiple machine learning models to detect fraud. The system first identifies anomalies and then classifies them using advanced classification techniques. This layered approach improves detection accuracy and reduces false positives. The study demonstrates that hybrid models outperform single-model approaches in fraud detection tasks. However, the increased system complexity and processing time make it less suitable for large-scale real-time applications.

[8] Hybrid Machine Learning-Based Multi-Stage Framework for Detection of Credit Card Anomalies and Fraud (2024)

This study proposes a hybrid multi-stage fraud detection framework that integrates anomaly detection techniques with supervised classification models to improve detection performance. In the first stage, the system identifies abnormal transaction patterns using anomaly detection methods, which helps in filtering out potentially suspicious activities from large datasets. In the second stage, classification algorithms are applied to categorize these anomalies as fraudulent or legitimate transactions. The framework leverages ensemble learning techniques to improve robustness and accuracy, especially in highly imbalanced datasets where fraudulent transactions are rare. The results demonstrate that the multi-stage approach significantly reduces false positives while maintaining high detection rates. Additionally, the layered architecture allows better handling of complex fraud patterns by combining multiple perspectives. However, the system introduces increased computational complexity and longer processing time, which may limit its scalability and real-time applicability in large-scale e-commerce environments.

[9] Current Problems and Proposed Solutions for the Electronic Commerce Sector (2023)

This study provides a comprehensive analysis of the major challenges faced by the modern e-commerce sector, including fraud detection, refund abuse, data security, and lack of transparency in online transactions. The authors discuss issues such as identity theft, fake transactions, and misuse of return policies, which negatively impact both businesses and consumers. The paper proposes solutions such as the integration of advanced data analytics, machine learning-based monitoring systems, and improved security protocols to address these challenges. It emphasizes the need for intelligent systems that can analyze large volumes of transaction data and detect suspicious behavior in real time. The study also highlights the importance of customer trust and system reliability in sustaining e-commerce growth. However, the research remains largely conceptual and does not provide implementation details or experimental validation, limiting its practical applicability in real-world systems.

[10] E-Commerce Fraud Detection Based on Machine Learning Techniques: Systematic Literature Review (2024)

This paper presents a systematic literature review of various machine learning techniques used for fraud detection in e-commerce systems. The study analyzes a wide range of algorithms, including decision trees, support vector machines, neural networks, and ensemble models, along with different datasets and evaluation methodologies. It identifies key trends such as the increasing use of deep learning and hybrid models for improved fraud detection accuracy. The review also discusses challenges such as data imbalance, lack of labeled datasets, and evolving fraud techniques. Furthermore, it highlights the importance of feature engineering and behavioral analysis in enhancing model performance. While the study provides a comprehensive overview of existing approaches, it does not propose a new model or framework, limiting its contribution to theoretical insights rather than practical solutions.

[11] E-Vigilant: An E-Commerce Assistant Smartphone Application (2024)

This research introduces E-Vigilant, a smartphone-based application designed to detect fraud involving both customers and sellers in e-commerce platforms. The system integrates multiple functionalities, including fraud detection, seller identity verification, legal assistance, and general e-commerce features. It uses machine learning models combined with rule-based techniques to analyze transaction data and identify suspicious activities. The mobile-based approach enhances accessibility and allows users to monitor fraud-related activities in real time. Additionally, the system aims to provide a comprehensive solution by combining detection, prevention, and user support within a single platform. The results indicate improved user awareness and system usability. However, the application is tested on limited datasets and lacks evaluation on large-scale real-world environments, which restricts its scalability and effectiveness in high-volume systems.

[12] A Pattern Based Anti-Fraud Method in C2C Ecommerce Environment (2010)

This study proposes a pattern-based approach for detecting fraud in customer-to-customer (C2C) e-commerce environments. The system analyzes transaction patterns, user behavior, and interaction history to identify suspicious activities. It uses predefined rules and pattern recognition techniques to detect anomalies such as unusual transaction frequency, inconsistent behavior, and repeated fraudulent actions. The study demonstrates that identifying recurring patterns can be effective in detecting fraud in early-stage systems. However, the approach relies heavily on manually defined rules and lacks adaptability to new and evolving fraud techniques.

Additionally, it does not incorporate modern machine learning or deep learning methods, making it less effective compared to contemporary data-driven approaches.

[13] Credit Card Fraud Detection: Analyzing the Performance of Four Machine Learning Models (2023)

This paper evaluates the performance of four machine learning models—Logistic Regression, Decision Tree, Random Forest, and K-Nearest Neighbors (KNN)—for detecting credit card fraud. The study compares these models using performance metrics such as accuracy, precision, recall, and F1-score. The results indicate that ensemble methods like Random Forest outperform individual models due to their ability to handle complex data patterns and reduce overfitting. The research also highlights the importance of feature selection and data preprocessing in improving model performance. However, the study focuses on static datasets and does not consider real-time data processing or streaming environments, which are essential for practical fraud detection systems.

[14] Credit Card Fraud Detection Using Advanced Machine Learning Techniques (2022)

This research explores the use of advanced machine learning techniques, including Neural Networks, Random Forest, and Support Vector Machines, for detecting credit card fraud. The system applies classification and anomaly detection methods to identify fraudulent transactions with high accuracy. It emphasizes the importance of handling imbalanced datasets and optimizing model parameters to improve detection performance. The results show that advanced models significantly reduce false positives and improve overall system reliability. However, the study lacks focus on model interpretability and explainability, making it difficult for users to understand the reasoning behind fraud predictions. This limitation can reduce trust and usability in real-world applications.

[15] Service Decisions in a Two-Echelon Retailing System with Customer Returns (2022)

This study analyzes service decision-making in a two-echelon retailing system that includes a manufacturer and a retailer, considering customer return behavior. The model evaluates how service levels, pricing strategies, and return policies affect overall supply chain performance. The research highlights that customer returns significantly influence demand patterns and operational efficiency. Mathematical modeling and optimization techniques are used to determine optimal service strategies. The results show that better coordination between different levels of the supply chain can reduce losses caused by returns. However, the study

focuses mainly on economic modeling and does not incorporate machine learning techniques for fraud or refund abuse detection.

[16] Coordinating a Supply Chain With a Manufacturer-Owned Online Channel: A Dual Channel Model Under Price Competition (2012)

This paper presents a dual-channel supply chain model where a manufacturer sells products through both online and retail channels. The study analyzes price competition between channels and its impact on demand, profit, and coordination strategies. Game theory and optimization models are used to evaluate pricing decisions and channel interactions. The results indicate that proper coordination strategies can improve supply chain efficiency and profitability. However, the model does not address issues related to fraud detection or customer return abuse, limiting its applicability in modern e-commerce security systems.

[17] Coordination of Revenue Sharing Contract Based on Four-Level Supply Chain (2011)

This research focuses on revenue-sharing contracts in a four-level supply chain consisting of multiple stakeholders such as manufacturers, distributors, retailers, and customers. The study uses mathematical modeling to analyze profit distribution and coordination among different levels. It highlights that proper revenue-sharing mechanisms can improve collaboration and reduce conflicts within the supply chain. The findings show improved efficiency and balanced profit distribution. However, the study does not consider fraud detection or abnormal customer behavior, which are critical aspects in modern e-commerce systems.

[18] Blockchain and Machine Learning for Fraud Detection: A Privacy-Preserving and Adaptive Incentive Based Approach (2022)

This study proposes a hybrid framework combining blockchain technology with machine learning for fraud detection. Blockchain ensures secure and tamper-proof data storage, while machine learning models analyze transaction patterns to detect fraud. The system also introduces an incentive-based mechanism to encourage honest participation among users. The results demonstrate improved security, transparency, and fraud detection accuracy. However, the system involves high computational overhead and complexity, making real-time implementation challenging in large-scale environments.

[19] A Multiperspective Fraud Detection Method for Multiparticipant E-Commerce Transactions (2023)

This paper introduces a multiperspective fraud detection approach that analyzes transactions from multiple viewpoints, including buyers, sellers, and transaction interactions. The system uses advanced data mining and machine learning techniques to identify suspicious activities. By combining different perspectives, the model improves detection accuracy and captures complex fraud patterns. The results show enhanced performance compared to single-perspective models. However, the system requires large datasets and complex feature engineering, which increases implementation complexity.

[20] Transaction Fraud Detection Based on Total Order Relation and Behavior Diversity (2018)

This research proposes a fraud detection method based on total order relations and behavioral diversity analysis. The system evaluates transaction sequences and user behavior patterns to detect anomalies. It introduces a ranking mechanism to identify suspicious transactions based on deviations from normal behavior. The approach improves detection efficiency by considering both transaction order and diversity of actions. However, the method relies on predefined rules and lacks integration with advanced machine learning models, limiting its adaptability.

[21] Deep Representation Learning With Full Center Loss for Credit Card Fraud Detection (2019)

This study introduces a deep learning-based approach using representation learning and a full center loss function to improve fraud detection accuracy. The model learns meaningful feature representations from transaction data, reducing intra-class variation and improving classification performance. The results show significant improvement in detecting fraudulent transactions compared to traditional methods. However, the model requires high computational resources and lacks interpretability, making it difficult to understand decision-making processes.

[22] Online Transaction Fraud Detection System (2021)

This paper presents an online fraud detection system that monitors transactions in real time using machine learning techniques. The system analyzes transaction features such as amount, location, and frequency to detect anomalies. It provides real-time alerts for suspicious transactions, improving security and response time. The results indicate improved detection efficiency and reduced fraud risk. However, the system focuses mainly on transaction-level analysis and does not incorporate user behavior or return patterns.

[23] Fraud Detection on Event Logs Using Fuzzy Association Rule Learning (2018)

This study proposes a fraud detection method based on fuzzy association rule learning applied to event logs. The system analyzes sequences of events and identifies patterns associated with fraudulent activities. Fuzzy logic helps handle uncertainty and imprecise data, improving detection accuracy. The results show that the method effectively identifies hidden fraud patterns. However, the approach may generate complex rules and lacks scalability for large datasets.

[24] How to Shop for Free Online – Security Analysis of Cashier-as-a-Service Based Web Stores (2011)

This research analyzes security vulnerabilities in cashier-as-a-service based web stores. The study demonstrates how attackers can exploit system weaknesses to obtain products without payment. It highlights flaws in transaction validation and payment processing systems. The findings emphasize the importance of secure system design and proper validation mechanisms. However, the study focuses on security analysis rather than proposing machine learning-based fraud detection solutions.

Chapter 3

Limitation of Existing System

3. Limitation of Existing System

The existing research in the field of e-commerce fraud detection and refund abuse analysis has explored a wide range of techniques, including machine learning models, deep learning approaches, behavioral analytics, and optimization-based frameworks. These approaches aim to improve the detection of fraudulent transactions, enhance system security, and reduce financial losses in online platforms. With the rapid growth of digital commerce, the need for intelligent and automated fraud detection systems has become increasingly important, as traditional rule-based systems are no longer sufficient to handle complex and evolving fraud patterns.

Several studies have focused on classification models such as Logistic Regression, Decision Trees, Random Forest, and Support Vector Machines, which are widely used for detecting anomalies in transaction data. In addition, more advanced techniques such as deep learning models, hybrid frameworks, graph-based approaches, and blockchain-integrated systems have been explored to capture complex relationships and hidden fraud patterns. These methods aim to improve detection accuracy, handle large-scale data, and adapt to dynamic user behavior.

Despite these advancements, each approach has its own strengths and limitations. Some methods achieve high accuracy but lack real-time processing capability, while others focus primarily on theoretical models without practical implementation. Many systems also fail to integrate transaction-level analysis with behavioral insights, which is essential for detecting refund abuse. Additionally, challenges such as data imbalance, lack of explainability, and scalability issues continue to affect the effectiveness of existing solutions.

Table 1: Summary of Existing Fraud Detection Techniques

Author / Year	**Method / Model**	**Dataset / Input**	**Key Contribution**	**Limitations**
Fraud Detection and Prevention in E-Commerce (2024)	ML Models (LR, DT, RF)	Transaction Data	Improved fraud detection using classification models	Cannot detect evolving fraud patterns
Investigating Return Behavior (2024)	Data Analytics, Clustering	Return Data	Identifies return behavior patterns	No integration with fraud detection
ML Pipeline for Fraud Detection (2019)	End-to-End ML Pipeline	Transaction Records	Structured pipeline improves accuracy	No real-time implementation
Visual Tool for Reducing Returns (2021)	Visualization System	Product Data	Reduces unnecessary returns	Does not detect fraudulent returns
Comparative Evaluation of Models (2024)	SVM, RF, Gradient Boosting	Transaction Data	Compares model performance	No real-world deployment
Fraud Detection ML Perspective (2024)	Supervised + Anomaly Detection	Transaction Data	Combines ML techniques	Lacks deep learning approaches

Deep Learning Fraud Detection (2024)	GNN, Autoencoders	Transaction + Network Data	Detects complex fraud patterns	High computational cost
Hybrid Multi-Stage Framework (2024)	Ensemble + Multi-stage Models	Credit Card Data	Improves accuracy and reduces false positives	High complexity and slow processing
E-Commerce Problems Study (2023)	Conceptual Analysis	Industry Data	Identifies major challenges	No practical implementation
ML Techniques Review (2024)	Literature Review	Multiple Datasets	Summarizes existing methods	No new model proposed
E-Vigilant App (2024)	ML + Rule-Based System	Mobile Data	Real-time fraud monitoring	Limited large-scale testing
Pattern-Based Anti-Fraud (2010)	Pattern Recognition	C2C Data	Detects fraud using patterns	Outdated, no modern ML
Credit Card Fraud Models (2023)	LR, DT, RF, KNN	Transaction Data	Model performance comparison	No real-time processing
Advanced ML Fraud Detection (2022)	NN, RF, SVM	Credit Card Data	High accuracy detection	Lacks explainability
Two-Echelon Retail System (2022)	Optimization Model	Supply Chain Data	Improves service decisions	No fraud detection focus

Dual Channel Supply Chain (2012)	Game Theory Model	Retail + Online Data	Optimizes pricing strategies	No fraud consideration
Revenue Sharing Supply Chain (2011)	Mathematical Model	Supply Chain Data	Improves coordination	No fraud detection
Blockchain + ML Fraud Detection (2022)	Blockchain + ML	Transaction Data	Improves security and transparency	High complexity
Multiperspective Fraud Detection (2023)	Data Mining + ML	Multi-user Data	Detects fraud from multiple views	Complex implementation
Behavior Diversity Fraud Detection (2018)	Rule + Behavior Analysis	Transaction Data	Uses behavior diversity for detection	Limited adaptability
Deep Representation Learning (2019)	Deep Learning (Center Loss)	Credit Card Data	Improves feature learning	High computational cost
Online Fraud Detection System (2021)	ML-based System	Transaction Data	Real-time detection	Limited behavioral analysis
Fuzzy Rule-Based Detection (2018)	Fuzzy Association Rules	Event Logs	Handles uncertainty in data	Not scalable
Security Analysis of Web Stores (2011)	Security Analysis	Web Transactions	Identifies vulnerabilities	No ML-based detection

From above table, it can be observed that a wide range of approaches have been proposed for fraud detection in e-commerce systems, spanning from traditional machine learning models to advanced deep learning and hybrid techniques. Classification-based models such as Logistic Regression, Decision Trees, and Random Forest provide good baseline performance and are effective for structured transaction data. However, these models often struggle to adapt to evolving fraud patterns and suffer from issues related to imbalanced datasets, where fraudulent instances are significantly fewer than legitimate ones. As a result, they may produce biased predictions and fail to detect sophisticated fraud activities.

Deep learning and hybrid approaches, including Graph Neural Networks, Autoencoders, and ensemble frameworks, have demonstrated improved performance by capturing complex relationships and hidden behavioral patterns. These models are capable of analyzing high-dimensional data and detecting subtle anomalies that traditional methods may miss. However, they introduce higher computational complexity, increased training time, and implementation challenges, which limit their usability in real-time and resource-constrained environments. Additionally, many of these models lack interpretability, making it difficult for administrators to understand and trust the system's decisions.

It is also evident that many existing systems focus primarily on transaction-level analysis, relying on features such as payment details, order value, and account information. While these features are useful, they do not fully capture user behavior patterns, such as browsing activity, return frequency, session interactions, and long-term purchasing habits. The absence of such behavioral insights limits the ability to detect refund abuse and coordinated fraudulent activities, which often occur over multiple transactions rather than a single event.

Another important observation is that several studies lack real-time implementation and large-scale validation. Many models are tested on limited or static datasets, which do not reflect real-world complexities such as high transaction volume, diverse user behavior, and continuously changing fraud strategies. This reduces the generalization capability of these systems when deployed in practical environments. Furthermore, issues such as data quality, feature selection, and lack of standardized datasets further impact the reliability and performance of fraud detection models.

Moreover, supply chain and pricing-related studies provide valuable insights into operational efficiency, pricing strategies, and return management, but they do not directly address fraud detection. This creates a gap between theoretical optimization models and

practical security solutions required in modern e-commerce platforms. Similarly, some security-focused studies identify system vulnerabilities but fail to provide intelligent detection mechanisms.

Overall, the analysis highlights that while significant progress has been made, existing systems still lack a comprehensive, integrated, and scalable solution that combines transaction analysis, behavioral monitoring, and real-time decision-making. These limitations emphasize the need for a more robust framework that leverages machine learning, behavioral analytics, and hybrid modeling techniques to effectively detect both fraudulent transactions and refund abuse in dynamic e-commerce environments.

Chapter 4

Problem Statement and Objective

4. Problem Statement and Objective

4.1 Problem Statement

With the rapid growth of e-commerce platforms, the number of online transactions and product returns has increased significantly. This growth has also led to a rise in fraudulent activities such as fake transactions, identity misuse, and refund abuse. Existing systems primarily focus on detecting fraudulent transactions during the payment stage, while return-related frauds are often overlooked. Additionally, many current solutions lack real-time processing, behavioral analysis, and integration between transaction fraud detection and return behavior monitoring. As a result, fraudulent users exploit system loopholes, leading to financial losses for sellers and reduced trust in e-commerce platforms.

Therefore, there is a need to develop an intelligent system that can effectively detect both fraudulent transactions and refund abuse by analyzing transaction data as well as user behavior using machine learning techniques.

4.2 Objectives

- **To develop an intelligent fraud detection system for e-commerce platforms:** The main objective is to design a machine learning-based system that can identify fraudulent transactions by analyzing transaction data and detecting suspicious patterns.

- **To detect and prevent refund/return abuse:** The system aims to analyze return behavior and identify unusual or repeated return patterns that indicate misuse of refund policies

- **To enhance fraud detection accuracy using machine learning:** The project utilizes classification and anomaly detection algorithms to improve the accuracy and reliability of fraud detection.

- **To incorporate user behavior analysis:** The system studies user activities such as purchase frequency, return habits, and transaction history to detect complex fraud patterns more effectively.

- **To support real-time or near real-time detection:** The application is designed to process transaction data quickly and provide timely detection of fraudulent activities.

- **To reduce false positives in fraud detection:** The system focuses on minimizing incorrect predictions where genuine users are flagged as fraudulent, improving overall user experience.

- **To provide a scalable and efficient solution:** The system is designed to handle large volumes of data and can be extended for use in real-world e-commerce platforms.

- **To improve security and trust in e-commerce systems:** By detecting fraud and refund abuse effectively, the system enhances trust between customers and sellers.

- **To bridge the gap between transaction analysis and behavioral insights:** The project integrates both transaction-level data and user behavior analysis to provide a more comprehensive fraud detection approach.

4.3 Scope

- **Development of a Machine Learning-Based System:** The project focuses on designing a system that detects fraud and refund abuse in e-commerce platforms using machine learning techniques

- **Analysis of Transaction and Behavioral Data:** The system analyzes transaction records and user behavior patterns to identify suspicious activities and fraud indicators.

- **Implementation of Machine Learning Algorithms:** The project includes the use of classification and anomaly detection models to improve fraud detection accuracy.

- **Detection of Refund and Return:** return patterns to detect misuse of refund policies

- **Use of Structured Datasets:** The system is designed to work with structured data such as transaction logs, customer details, and return records.

- **Scalability and Integration Capability:** The solution is scalable and can be integrated with existing e-commerce platforms for practical applications.

- **Extensionto Real-Time Systems:** The system can be extended to support real-time fraud detection in future implementations.

- **Limitation to Prototype-Level Implementation:** The project is limited to data-driven analysis and does not include full deployment in a live production environment.

Chapter 5

Proposed System

5. Proposed System

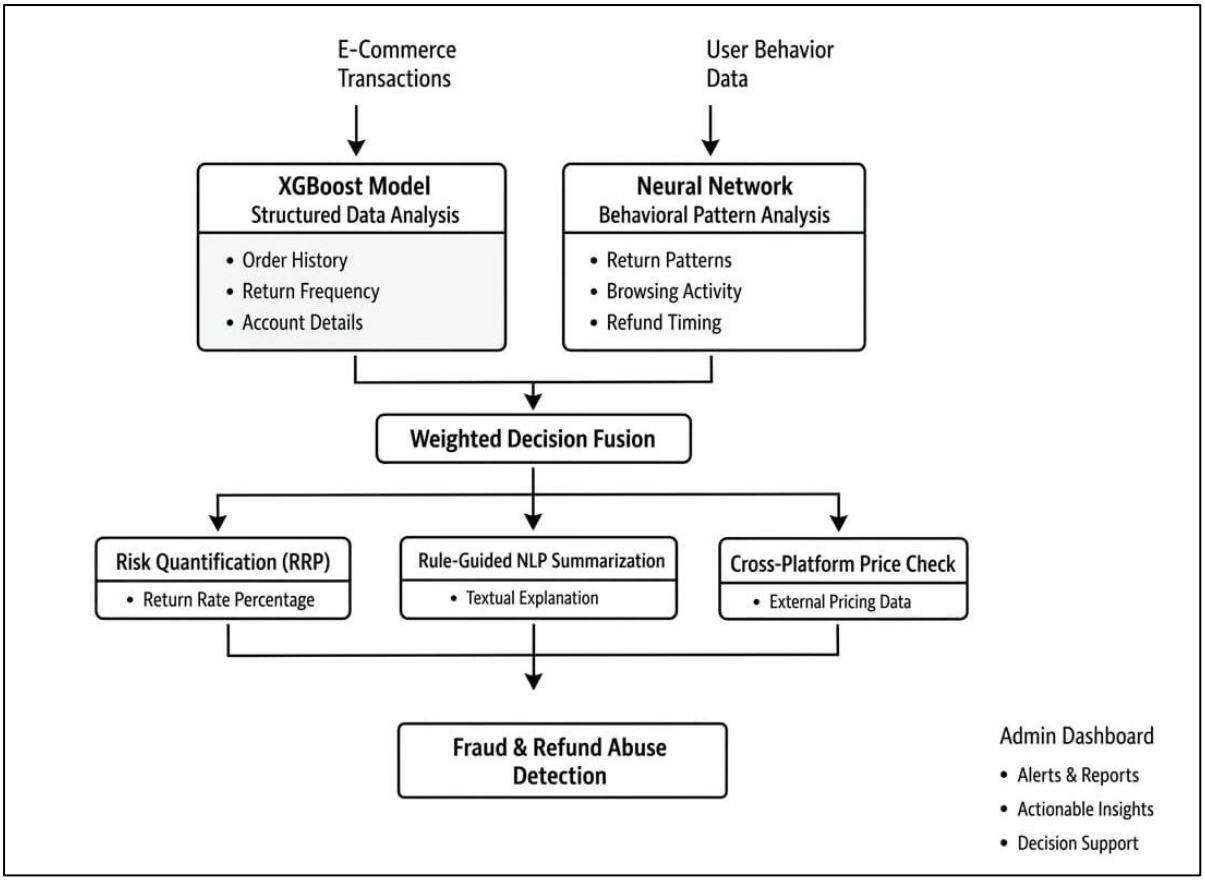

Figure 1: Proposed System

5.1 Data Flow Diagram (DFD)

The Data Flow Diagram represents the logical flow of data within the Fraud Lens – E-commerce Fraud and Refund Abuse Detection System. It illustrates how transaction data and user behavior are processed and transformed into meaningful fraud detection insights.

The process begins with data input, where two main types of data are collected:

- E-commerce transaction data (orders, payments, returns, refunds)
- User behavior data (purchase patterns, browsing activity, return habits)

This data is passed to the Data Processing and Feature Engineering Module, where it is cleaned, transformed, and converted into meaningful features such as return frequency, refund ratio, and behavioral indicators. The processed data is then sent to the Hybrid Machine Learning Module, which consists of two layers. The first layer uses the XGBoost algorithm to analyze structured transaction data and generate an initial fraud probability score. The second layer uses a Neural Network model to detect complex behavioral patterns and hidden fraud activities. The outputs from both models are combined using a Weighted Decision Fusion mechanism, which produces a final fraud likelihood score. This ensures more accurate and reliable detection by considering multiple perspectives.

The outputs from both models are combined using a Weighted Decision Fusion mechanism, which produces a final fraud likelihood score. This ensures more accurate and reliable detection by considering multiple perspectives. After this, the system performs additional analysis through supporting modules. The Risk Quantification Module (RRP Engine) evaluates the return behavior of users by calculating their return rate percentage. The Rule-Guided NLP Module converts fraud detection results into clear textual explanations for better understanding. The Cross-Platform Price Comparison Module analyzes product prices across different platforms to detect suspicious pricing behavior. Finally, the processed results are sent to the Admin Dashboard, where fraud alerts, reports, and insights are displayed. The administrator can take actions such as reviewing flagged users, exporting reports, or updating records. Throughout the process, the system continuously monitors user activity and updates fraud detection results dynamically, ensuring better accuracy and real-time decision support. Throughout the process, the system continuously monitors user activity and updates fraud detection results dynamically, ensuring better accuracy and real-time decision support.

Flow Summary:

Transaction Data + User Behavior → Data Processing → Feature Engineering → XGBoost Model → Neural Network Model → Weighted Decision Fusion → Risk & NLP Analysis → Admin Dashboard → Fraud Detection Output

5.2 Design Details

The design of Fraud Lens is based on a modular architecture in which each component performs a specialized role while remaining connected to the overall fraud analysis workflow.

5.2.1 Core System Architecture and Technologies

At the center of the system is a Flask backend, which acts as the controller for all API requests and module interactions. Flask is selected because it is lightweight, flexible, and well suited for integrating machine learning services into web-based applications.

The major design components are as follows:

- Flask for backend application logic and RESTful API routing.
- Flask-SQLAlchemy for ORM-based data handling and transaction management.
- PostgreSQL for storing customer data, order records, session logs, fraud flags, and historical return information.
- TensorFlow / Keras for neural network implementation.
- XGBoost for boosted decision tree fraud classification.
- Redis for temporary caching of live market pricing data.
- BeautifulSoup (BS4) and request-handling tools for external pricing data collection.
- Admin Dashboard / Interface for report visualization, fraud monitoring, and export features.

The architecture ensures smooth communication between machine learning modules and system storage. It also supports scalability and maintainability, as each module can be updated independently without affecting the full workflow. To maintain privacy and security, sensitive customer identifiers are stored in hashed form. Relationships among customer IDs, order history, refund records, and fraud alerts are preserved structurally to ensure traceability without exposing raw personal identifiers.

5.3 Methodology

The methodology of the proposed system consists of multiple steps, starting from data collection and ending with fraud detection and reporting.

Step 1: Data Collection (Data Acquisition)

The system collects data from two main sources:

- **Internal Data:** Includes transaction history, return records, customer details, payment data, and user behavior.
- **External Data:** Includes product prices from platforms like Amazon, Flipkart, etc., collected for comparison.

Before using the data, it is cleaned and prepared by:

- Handling missing values
- Normalizing data
- Converting categorical data
- Creating useful feature

To handle imbalance (less fraud data), synthetic data techniques are applied.

Step 2: Feature Engineering

The system creates important features to detect fraud, such as:

- Return Rate Percentage (RRP)
- Refund frequency
- Average order value
- Time between purchase and return
- Return-to-purchase ratio

These features help differentiate between normal users and fraudulent users.

Step 3: Hybrid Fraud Detection

The system uses two models:

- **XGBoost Model:** Analyzes structured data like transactions and returns to detect fraud patterns.
- **Neural Network Model:** Analyzes user behavior patterns such as repeated returns and unusual activities.

Both model outputs are combined using a weighted decision method to generate a final fraud score. If the score exceeds a threshold, the user is flagged as suspicious.

Step 4: Risk Calculation (RRP Engine)

The system calculates Return Rate Percentage (RRP):

$$RRP = \left(\frac{\text{Returned Items}}{\text{Total Orders}}\right) \times 100$$

If RRP > 40%, the system raises an alert. This helps identify frequent returners and potential refund abuse.

Step 5: Price Comparison Module

The system compares product prices across different platforms using:

- Product matching
- Price comparison
- Availability checking

This helps detect suspicious pricing or refund behavior.

Step 6: Alerts and Reporting

When fraud is detected: The system generates alerts

Admin can:

- View reports
- Flag users
- Export data
- Take action

The system provides simple explanations for better understanding.

5.4 Use Case Diagram

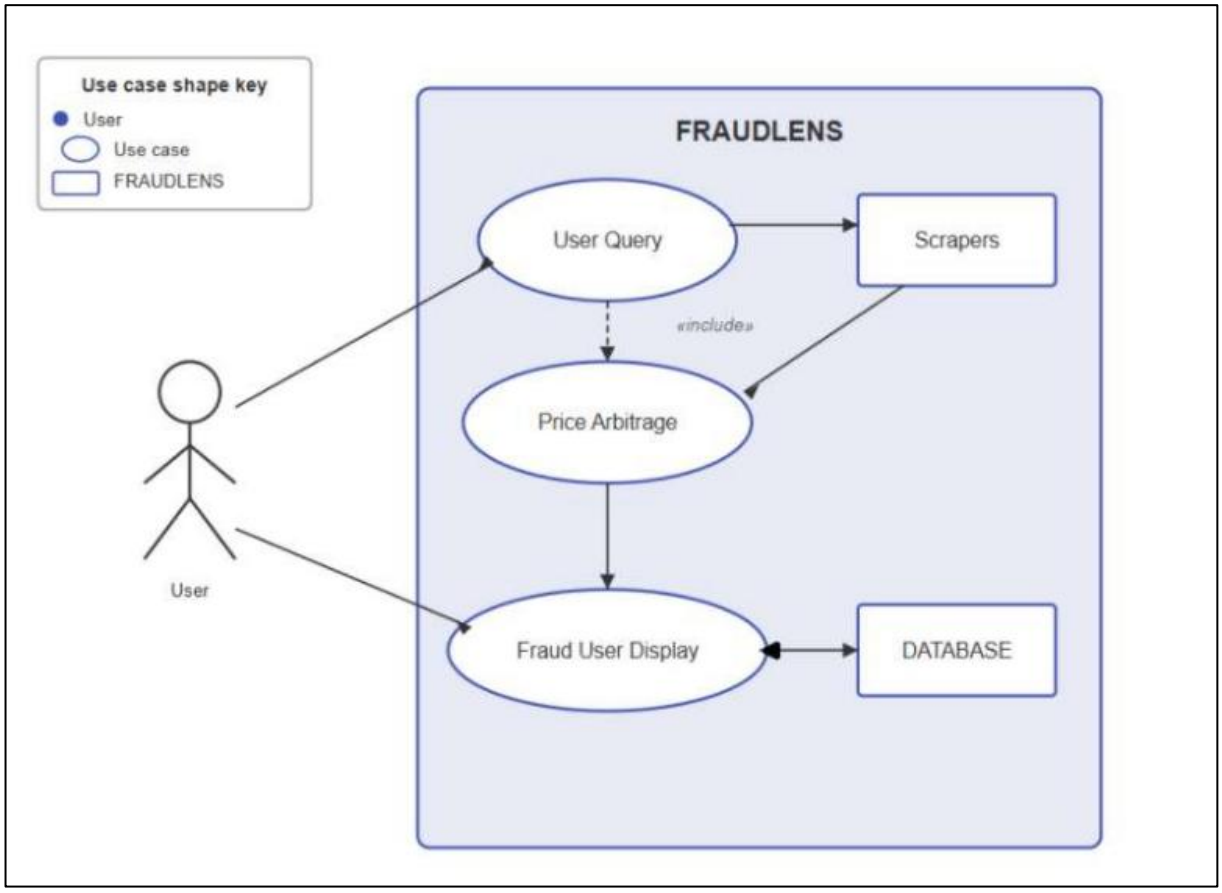

Figure 2:Use Case Diagram for FraudLens

Actors:

• **Admin:** The primary actor who interacts with the system to monitor transactions, detect fraud, and manage system operations.

Use Cases:

1.View Customer Data: The admin initiates the process by accessing customer information, including transaction history, return records, and behavioral data. This serves as the input for further analysis.

2. Analyze Transactions: The system processes transaction data using machine learning models such as XGBoost and Neural Networks to identify suspicious patterns and anomalies.

3. Detect Fraud / Refund Abuse: The system identifies fraudulent transactions and abnormal return behavior based on risk scores and behavioral analysis.

4. View Risk Score: The system assigns a fraud risk score to each customer, helping the admin understand the severity of suspicious activity.

5. Generate Reports: The admin can generate and view reports containing details of flagged users, fraud analysis, and system insights.

6. Receive Alerts: The system automatically notifies the admin when suspicious activity or fraud is detected.

7. Take Action: The admin can take appropriate actions such as reviewing, flagging, or updating records of suspicious users.

Relationships:

• The Admin interacts directly with all use cases.

• The system processes data internally and provides results, alerts, and reports to the admin for decision-making.

Chapter 6

Experimental Setup

6. Experimental Setup

6.1 Details of Database

The input to the proposed system consists of multiple types of data collected from e-commerce platforms and external sources. This data is used to train and evaluate the fraud detection model. The primary input is historical transaction and refund data, which includes customer purchase history, return records, refund details, payment information, and account-related data. Each record represents a user activity such as placing an order, requesting a refund, or returning a product. The system also uses behavioral data, which includes user activity patterns such as number of visits, browsing behavior, repeated return actions, and session-level interactions. This helps in identifying fraud patterns that are not visible in a single transaction.

In addition, the system collects live market pricing data from platforms like Amazon, Flipkart, and others. This data includes product price, availability, and platform source, which is used for price comparison and fraud analysis. The database is designed using PostgreSQL, where data is stored in multiple related tables such as customers, orders, returns, behavior logs, and fraud records. These tables are interconnected to track complete user activity and detect suspicious patterns effectively.

6.2 Performance Evaluation Parameters

The performance of the proposed system is evaluated using multiple metrics to ensure accurate fraud detection.

- **Accuracy**: Measures the overall correctness of the model in classifying transactions as fraud or non-fraud.
- **Precision**: Indicates how many predicted fraud cases are actually fraudulent. It helps in reducing false alarms.
- **Recall**: Measures how many actual fraud cases are correctly detected. This is important to avoid missing fraud.
- **F1-Score**: Provides a balance between precision and recall, giving an overall performance measure.
- **Confusion Matrix**: Shows the number of correct and incorrect predictions (TP, TN, FP, FN) to analyze model performance.
- **ROC-AUC Score**: Evaluates how well the model distinguishes between fraudulent and genuine transactions.
- **Fraud Risk Score Analysis**: Checks how effectively the system ranks users based on fraud probability.
- **Return Rate Percentage (RRP) Validation**: Validates whether users with high return rates are correctly identified as suspicious.

6.3 Software Setup

The system is developed using modern software tools and technologies suitable for machine learning and web-based applications.

- Programming Language: Python
- Backend Framework: Flask
- Database: PostgreSQL
- ORM Tool: Flask-SQLAlchemy
- Machine Learning: XGBoost
- Deep Learning: TensorFlow, Keras
- Data Processing: Pandas, NumPy, Scikit-learn
- NLP Tools: NLTK / Rule-based NLP
- Caching: Redis
- Web Scraping: BeautifulSoup, Requests

- Frontend: HTML, CSS, JavaScript
- Reporting Tools: Pandas Excel Writer / OpenPyXL

6.4 Hardware Setup

The system is implemented on a standard computing environment suitable for development and testing.

- Processor: Intel Core i5 or equivalent
- RAM: Minimum 8 GB (16 GB recommended)
- Storage: 256 GB SSD or higher
- GPU: NVIDIA GPU for faster training

Chapter 7

Results and Discussion

7. Results and Discussion

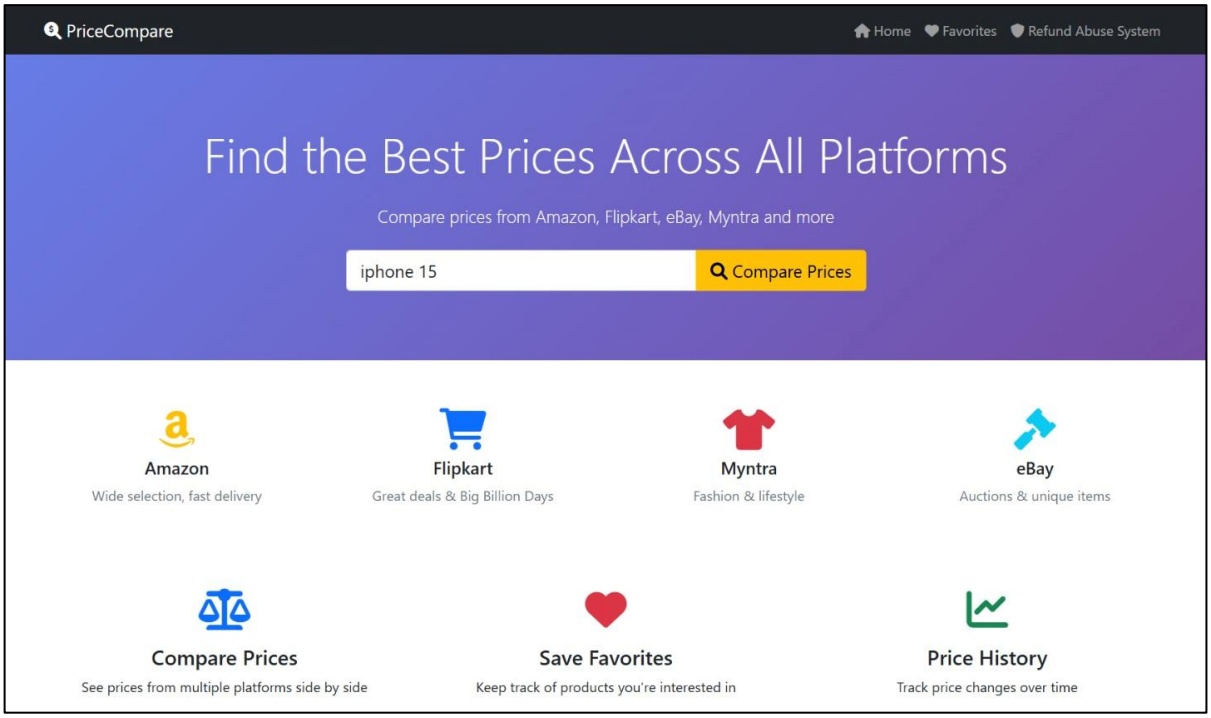

Figure 3:User Interface of Price Comparison Module

7.1 User Interface of Price Comparison Module

The above figure represents the Price Comparison Module interface of the proposed system. This module is designed to help users compare product prices across multiple e-commerce platforms such as Amazon, Flipkart, Myntra, and eBay in a simple and efficient manner.

At the top of the interface, a search bar is provided where users can enter the name of a product (for example, “iPhone 15”). Once the user clicks on the “Compare Prices” button, the system fetches relevant product data from multiple platforms using automated data collection techniques. The results are then processed and displayed in a structured format, allowing users to easily identify the best available price. The interface also highlights the supported e-commerce platforms along with their unique features, such as wide product selection, discount offers, fashion categories, and auction-based listings. This gives users a clear understanding of where they can find specific types of products.

Additionally, the module provides several useful functionalities:

- **Compare Prices**: Displays product prices from different platforms side by side, enabling quick and easy comparison.
- **Save Favorites:** Allows users to bookmark selected products for future reference, improving usability and personalization.
- **Price History:** Tracks and visualizes price changes over time, helping users decide the best time to purchase a product.

From a system perspective, this module plays an important role beyond user convenience. It supports the fraud detection framework by identifying unusual pricing patterns, inconsistencies, or abnormal price variations across platforms. Such insights can help in detecting suspicious activities like price manipulation or fraudulent refund claims.

The design of the interface focuses on simplicity, responsiveness, and user-friendly interaction. The layout is clean and visually appealing, ensuring that even non-technical users can easily navigate and use the system. The use of icons, structured sections, and clear call-to-action buttons enhances the overall user experience. Overall, the Price Comparison Module acts as both a decision-support tool for users and a data intelligence component for fraud analysis, making it a valuable part of the proposed system.

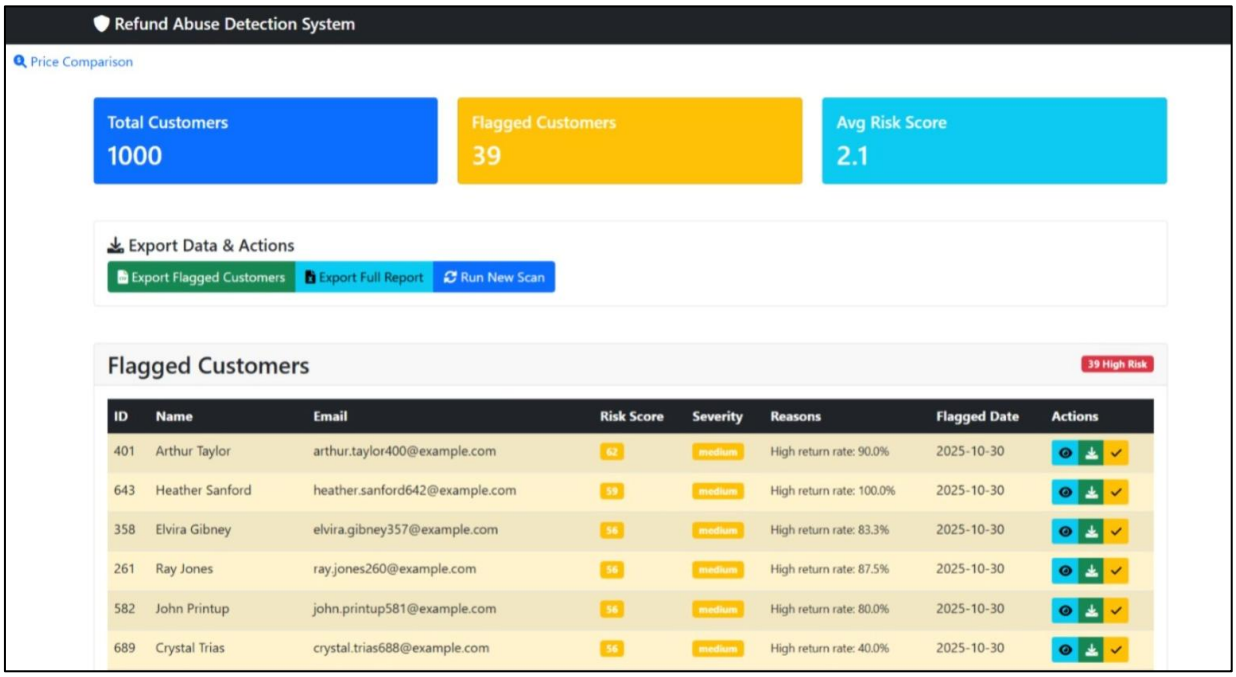

Figure 4: Admin Dashboard for Refund Abuse Detection System

7.2 : Admin Dashboard for Refund Abuse Detection System

The above figure represents the Admin Dashboard interface of the proposed Refund Abuse Detection System. This dashboard provides a comprehensive overview of customer activity, fraud detection results, and administrative controls. At the top of the interface, key summary metrics are displayed, including Total Customers, Flagged Customers, and Average Risk Score. These indicators help administrators quickly assess the overall system status and identify the level of suspicious activity within the platform. The dashboard also includes an "Export Data & Actions" section, which allows the admin to perform important operations such as exporting flagged customer data, generating full reports, and initiating a new fraud detection scan. This enhances usability and supports efficient decision-making.

The main section of the interface displays a tabular view of flagged customers, where each record contains detailed information such as:

- Customer ID, Name, and Email
- Risk Score indicating the likelihood of fraud
- Severity level (e.g., medium risk)
- Reason for flagging (e.g., high return rate)
- Flagged date
- Action buttons for further investigation

This structured representation helps administrators easily analyze suspicious users and take appropriate actions such as reviewing, confirming, or removing fraud flags. Overall, the dashboard is designed to provide clear visualization, real-time insights, and actionable controls, making it an essential component for monitoring and managing fraud and refund abuse in the system.

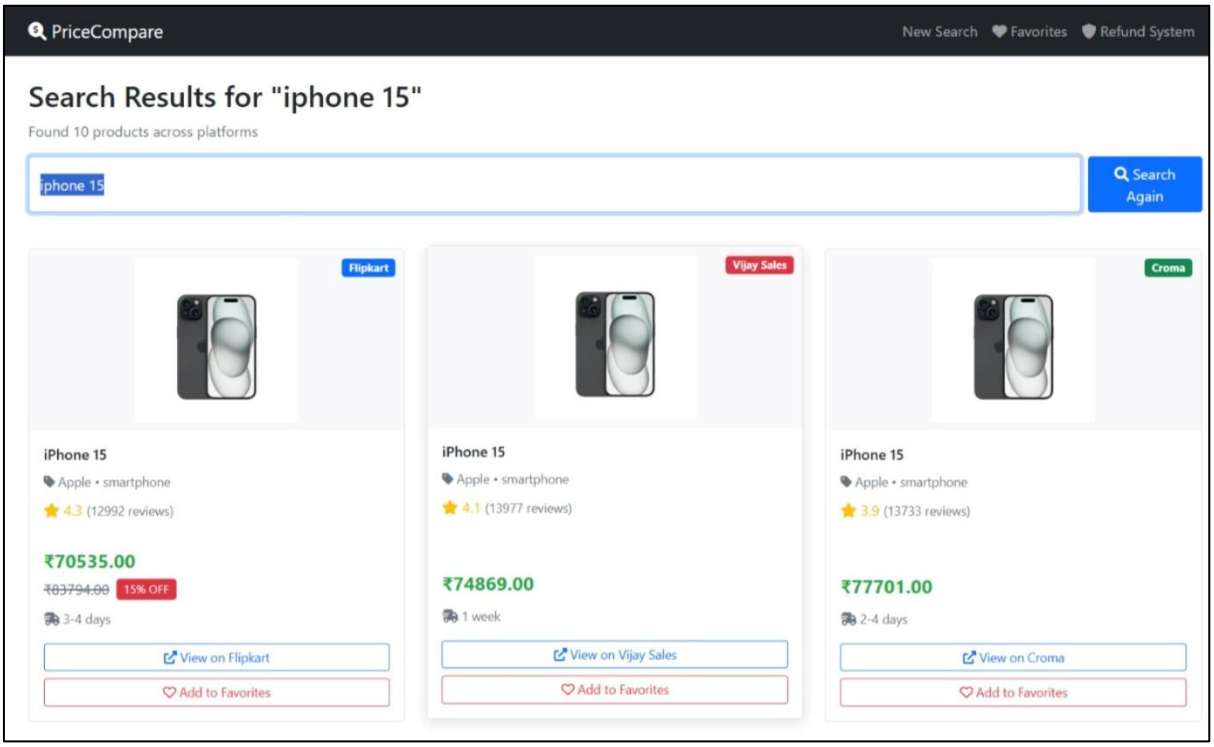

Figure 5:Search Results Interface of Price Comparison Module

The above figure represents the Search Results page of the Price Comparison Module in the proposed system. This interface displays the results obtained after a user searches for a product (e.g., “iPhone 15”) across multiple e-commerce platforms. At the top of the interface, the system shows the search query and the number of products found across different platforms. A search bar is also provided, allowing users to refine or modify their search without navigating away from the page. The “Search Again” button enhances usability by enabling quick re-search functionality.The main section of the interface presents product listings in a card-based layout, where each card represents a product from a specific platform such as Flipkart, Vijay Sales, or Croma. Each product card includes detailed information such as:

- Product image for visual identification
- Product name and category (e.g., smartphone)
- Brand information
- User ratings and number of reviews
- Current price along with discount details (if available)

- Estimated delivery time
- Platform name from which the product is sourced

Each product card also provides interactive options such as:

- **“View o Platform” button**: Redirects the user to the original website for purchase
- **“Add to Favorites” option**: Allows users to save products for later comparison or tracking

The system organizes these results in a structured and visually appealing format, enabling users to easily compare prices and product details across platforms. The use of multiple product cards allows side-by-side comparison, helping users identify the most cost-effective option. From a system perspective, this module plays a crucial role in supporting data-driven decision-making. It not only improves user convenience but also contributes to fraud analysis by highlighting price inconsistencies and abnormal variations across platforms. Such insights can be useful in detecting suspicious refund claims or pricing manipulation.

The interface is designed with a focus on clarity, responsiveness, and ease of use, ensuring that users can quickly access relevant information without confusion. Overall, this module enhances both the user experience and analytical capability of the proposed system.

Chapter 8

Conclusion and Future Work

8. Conclusion and Future Work

8.1. Conclusion

The development and implementation of the proposed system, Fraud Lens – E-commerce Fraud and Refund Abuse Detection System, demonstrates the effective application of machine learning and behavioral analytics in addressing critical challenges in modern e-commerce platforms. With the rapid growth of online transactions, issues such as fraudulent activities and refund abuse have become significant concerns, leading to financial losses and reduced trust among users. The proposed system successfully tackles these challenges by integrating advanced technologies into a unified and scalable framework.

The system combines multiple techniques, including XGBoost for structured data analysis and Neural Networks for behavioral pattern detection, to create a hybrid fraud detection model. This layered approach enables the system to identify both direct fraud indicators and complex user behavior patterns that may indicate refund abuse. By incorporating weighted decision fusion, the system improves prediction accuracy and reduces dependency on a single model, making the detection process more reliable and robust.

The inclusion of the Return Rate Percentage (RRP) Engine provides a simple yet effective way to quantify user behavior and identify frequent return patterns. This enhances interpretability and allows administrators to easily understand the reasoning behind fraud detection decisions. Additionally, the rule-guided NLP module improves transparency by converting model outputs into clear and readable explanations, making the system more practical for real-world use.

Another important contribution of the system is the Cross-Platform Price Comparison Module, which not only enhances user experience by helping users find the best prices but also supports fraud analysis by identifying unusual pricing patterns and inconsistencies across platforms. The integration of an admin dashboard with real-time alerts, reports, and action controls further strengthens the system by enabling efficient monitoring and decision-making.

Overall, the results demonstrate that the proposed system effectively bridges the gap between traditional fraud detection methods and modern intelligent systems. It provides a comprehensive solution that combines transaction analysis, behavioral insights, and real-time monitoring. Although certain limitations exist, such as dependency on data quality and computational requirements for advanced models, the system establishes a strong foundation for intelligent fraud detection in e-commerce environments. The implementation of Fraud Lens thus represents a significant step toward improving security, transparency, and trust in online marketplaces.

8.2. Future Work

While the current implementation of the Fraud Lens system demonstrates strong performance in detecting fraud and refund abuse, there is considerable scope for further enhancement and expansion. One of the key areas for future improvement is the integration of real-time fraud detection capabilities at a larger scale, enabling the system to handle high-volume transactions in live e-commerce environments. Optimizing model performance and reducing processing latency will be essential for achieving faster and more efficient detection. Another important direction involves enhancing the accuracy of the system by incorporating larger and more diverse datasets, including real-world transaction data and evolving fraud patterns. This will improve the model's ability to generalize and detect new types of fraud. Additionally, implementing Explainable AI (XAI) techniques can further improve transparency by providing more detailed insights into model decisions.

The system can also be extended to include advanced behavioral analytics, such as long-term user profiling and anomaly detection across multiple platforms. This will help in identifying more sophisticated fraud strategies that may not be visible in short-term analysis. Future enhancements may also include the development of a mobile application interface, allowing users and administrators to access the system more conveniently. Integration with cloud platforms can improve scalability and enable deployment in real-world industrial environments.

Another potential improvement is the inclusion of multilingual support and voice-based interaction, which can make the system more accessible to a wider range of users. Additionally, a feedback mechanism can be introduced where administrators can validate system predictions, helping the model improve over time through continuous learning. In the long term, the system can be integrated with full-scale e-commerce platforms, payment gateways, and regulatory systems, enabling automated fraud prevention, real-time monitoring, and secure transaction processing. Such integration would transform the system into a comprehensive fraud management ecosystem.

Overall, the future scope of the proposed system lies in enhancing its scalability, improving detection accuracy, expanding its capabilities, and ensuring that it remains a reliable and intelligent solution for combating fraud and refund abuse in evolving e-commerce environments.

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To: Vedant Chetan Gandre <vedantgandre11@apsit.edu.in>

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A Machine Learning Framework for Detecting Refund Abuse in E-Commerce Websites

Prof. Sumeet Shingi, Vedant Gandre, Devansh Mane, and Harshit Jain

1,2,3,4*Computer Science Engineering (AIML), A.P. Shah Institute of Technology, Thane, 400615, Maharashtra, India.
Contributing authors: svshingi@apsit.edu.in, vedantgandre11@apsit.edu.in, devanshmane61@apsit.edu.in, harshitjain39@apsit.edu.in

Abstract. In online shopping Refund Abuse has turned into a real issue. Due to which it is leading to financial detriment across the e-commerce system. These fraudulent activities, which are systematically planned elude detection the traditional security setups the companies possess. This paper aims to introduce Fraud Lens, which is primarily a machine learning framework to detect fraudulent return patterns at an early stage. It attempts to identify these patterns, while still maintaining a positive user experience for regular users. Based on recent studies on behavioral patterns of people in e-commerce, integrated assistant tools is suitable in this scenario. The framework operates through a multi-stage pipeline that investigates the large-scale transaction data. The crucial component of this Fraud lens is the dual-purpose engine. At the first stage, a predictive model is employed that determines a specific Return Rate Percentage for every user, enabling the identification of high-risk users from legitimate customers. In the second stage, a new subsystem is introduced for comparing prices across platforms. This valuable functional unit transforms the system into something useful like a shopping assistant. The customers are provided with real-time market deals, which adds value. Simultaneously, it provides a baseline for spotting price-sensitive patterns in shopping behavior. Which in turn contributes to more robust fraud identification. These evaluated data are used by different ML models to compare and narratives about fraud are generated automatically using natural language processing. This helps users minimize the manual investigation efforts and mitigate operational latency.

Keywords: Machine Learning, Refund Abuse, E-Commerce.

1. Introduction

In recent years, e-commerce has experienced rapid growth, it is seen that people are adopting online purchasing. Billions of users worldwide are dependent on digital transactions and so it has become a crucial mode of commerce. Moreover, online fraud has also seen a huge frequency of criminal acts. Based on previous research, observations focus on third- party aspects like unauthorized acquisition of user data.

Despite this, one major challenge still impacts business profitability is refund abuse, which is commonly referred to as first-party fraud.

Another significant thing seen in the market is when the consumers take advantage of these easy return rules. Such as purchasing clothes for temporary use and then returning them immediately, this type of behaviour is also known as wardrobing or another way is claiming that the package was never delivered so they can get a refund and also keep the item. As stated in [2], it is very evident that returns are no longer about logistics, it is also a crucial aspect of security, because it can hide larger patterns of exploitation.

Typical fraud systems miss this because everything looks normal when the user purchases anything. As pointed out by [10], these traditional rule-based setups process everything the same, but fraudsters keep changing how they do things. Due to this, we really need more advanced rules to distinguish between loyal users and fraudsters.

This paper introduces Fraud Lens; which is based on machine learning framework to get a system-wide view id customers are genuine. There are various such models but the problem is they just check for last recent order [3] [6], but fraud lens checks for the whole user history.

This Fraud Lens has two main units. Firstly, risk quantification computes a return rate percentage that automatically gets updated when the user purchases anything or returns the item, which in turn gives the admin a score to decide if an account needs to be supervised or blocked. Secondly, the price-comparison tool makes it user-friendly similar to the E-vigilant model in [11], which helps users by giving real-time deals to help people minimize expenditure in addition to this, it also monitors if low prices are linked to more returns, which reveals the behavioural patterns.

The main concept here is to not just spot fraud after it happens but to go beyond it to something more active with analysis. Contributions include finding weird return habits in big data sets by building a machine learning setup. Also, there is a price feature for keeping users around and watching behaviour. Additionally, Natural Language Processing is used to generate narratives that are interpretable from model outputs, so that it becomes easier for the investigator to understand.

Fraud Lens shows platforms can have enhanced security without making users agitated, by smart tech achieving this balance remains challenging but it might work even if it has potential concerns regarding simplification.

2. Literature Review

Despite having easy and reliable access to online ecommerce stores, certain weakness arises in their system at a rapid pace. Studies proves that security features have outgrown the login methodologies ages ago with now turning the attention towards the behavioral patterns hidden in the customer data. In replacement of passwords, complex algorithms that detect irregularities by analyzing the purchase history by the customer. These automated and smart tools handle large volume of data provided by the platform efficiently on a daily basis in a way which will be impossible for a team of humans to review by hand. Tough choices emerge when the convenience is met with the risk that might be hidden deep in the surface of dataset.

In real life scenarios, A movement in the field follows a pattern labelled "Multistage pipelines" by specialist [3]. Instead of going by each transaction separately, these systems search for repeating behaviors data. By providing a large amount of data, these algorithms distinguish errors from clear manipulations. In this procedure accuracy matters deeply; research provides proof that overly strict controls may label an activity as fraud where it may be [5][13]. In this crucial system success means more than just being correct- it involves clarity, an ability to offer clear data representation for human reviewer [6].

Another pattern shapes how systems are engaging different user interests. Certain applications don't only defend some organizational needs, but they also support individual needs. These designs carry the label of "E-Vigilant"[11]. Where some data analyst applies certain means such as "image based" methods to reduce unintentional returned products [4], some other studies provide solid proof behind the pattern of these deliberate product returns [2]. This is the point where financial losses are accumulated silently- which is commonly referred as "The hidden bleed" in online retail. An absence exists in research of systems that are capable of finding habitual returners prior to the loss incurrence.

Still transparency is faded when machines gain influence that raises concern about hidden decision making. Due to the clarity problems, researchers now seek to gain deep insights into systems that reveal their reasonings. A fraud lent tracker system might clarify risks by generating simple reports which can be sent to the respective staffs to further clarify the activities [7]. Such openness support fairness, meanwhile also reducing chances of software favoring one group over the other unknowingly.

Lately, there are efforts taken to bring consistency to risk measurement methods. Increasingly, further advancements in the field of Artificial Intelligence developed Graph Neural Networks to uncover concealed fraud groups [7], meanwhile indicating Return Rate Percentage which delivers straightforward numerical evaluations of exposure [9]. According to recent findings, an agreement has been reached: artificial intelligence excels in detecting trends - yet proves most valuable while guiding decisions made by individual professionals. Systems project greatest

impact, compared to model described here, transform intricate information into understandable reports called conclusion aimed at key users [10].

3. Methodology

Despite common approaches used, this tool finds fraud lent consumers using layered module in deep neural networks. It originates from flask lightweight module; the programming setup includes live data collected along with a detailed behavior tracking system across user sessions. One thing worth noting is that decisions don't emerge from any isolated events but from patterns that are drawn over a long period of time which are also guided by methods that are referenced in [3] and refined using comparison strategies based on research paper [5]. Instead of solely relying on hit-or-miss judgements, this approach measures the trustworthiness along with shifting scales. Central to its function, one component calculates precise returns of potential returns that are fraudlent while supporting an interactive guide at the interface level, feature shaped partially in [11]. Rare in similar tools available, this balances the detecting mechanisms along with usability considerations that does not favor one over the other and gives a fair output. This method uses two layers so the system can track any fraudlent or deliberate return inconsistencies [2], yet it delivers practical tools like pricing that checks for an item across all platforms and provides a list that can be referred to buy item at a cheap rate. Since the main task is completed by XGBoost and Neural Networks, the detection of irregular fraudulent behaviors is made possible; at the same time a rule leaded NLP mechanism converts all the basic results into clear written summaries that can be presented in a tabulated format. In conclusion, transparency is highly maintained, meaning explanations stay accessible to admin staff.

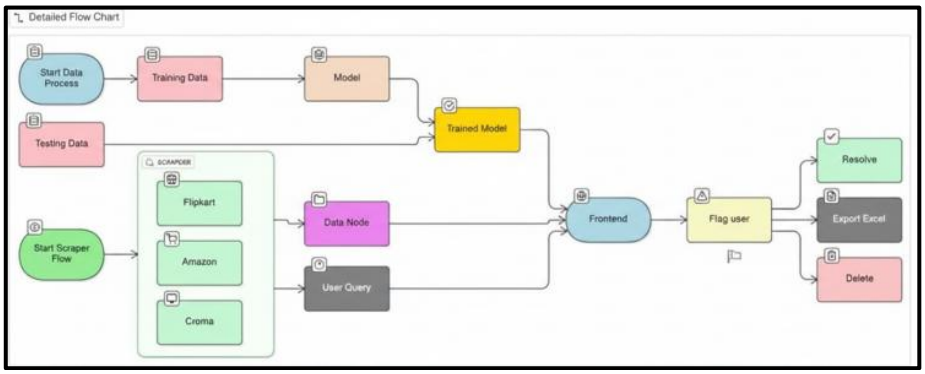

Figure1: Hybrid Machine Learning Model Combining XGBoost and Neural Network

Figure 1 illustrates how Fraud Lens operates. Starting simultaneously, one part of the project handles past records to refine all the gathered prediction. Meanwhile, other accumulates current marketplace details from sites such as Amazon and Flipkart with little to no delay. These paths converge in the data node which occurs prior to presentation on an interface. When a request is received, evaluation starts right away!

Basic questions occur in the system such as should irregularities appear, activate alert under the flag user procedures. Admins then are presented with choices such as export the conclusions in a spreadsheet in xlsx format, address concerns directly, or remove entries all together.

3.1. Core System Architecture and Technologies

In the center lies a unified structure that is formed by very powerful tools from the open community. This framework combines components that are designed for speed by collaborative development efforts. Built without any restrictions it relies on see through system which work together seamlessly. Performance emerges carefully by linked elements that shares a common standard. Each part is connected to ensure reliability across varied environments. Foundational strength comes from repetitive interactions among independent yet interdependent node modules.

Mainly the core system structure relies heavily on Flask, which redirects RESTful API calls that links machine learning components. From session tracking to previous transactions, data organization runs in Flask-SQL Alchemy. A PostgreSQL module stores information which is arranged with a lot of precision. Integration unfolds in each step which ensures consistency across all operations. A core structure relies on Flask, directing RESTful API calls while linking machine learning components. From session tracking to past transactions, data organization runs through Flask-SQL Alchemy. A PostgreSQL system holds the information, arranged with precision. Integration unfolds behind each interaction, ensuring consistency across operations.

A machine learning engine operates via two components that works simultaneously. First half applies XGBoost to manage boosted decision trees. Meanwhile the other half uses a Sequential Neural Network - developed with keras and TensorFlow - for capturing complex feature patterns. This structure allows the system to find different aspects of prediction tasks.

Periodically, live pricings of items are collected by automated methods. One tool processes the site's layout by interpreting a raw markup directly. At the same time, other handles communication across multiple other networks and requests efficiently. Together this enables an efficient and continuous monitoring without manual involvement. These system components are operated independently but are aligned closely during execution cycles. This integration supports access to be updated figures online. Each part performs under a variable condition while maintaining the overall accuracy of the system. The efforts rely on structured navigation which helps in efficient navigation throughout the system rather than the presence of visual cues throughout. Despite separate roles, synchronization remains very stable even at a scale. This method is adaptive quickly when sources have modified their output format unexpectedly. Throughout operation, minimum overhead is preserved systematically. Such design allows very efficient as well as reliable extraction despite updates that occur elsewhere.

By keeping the security in mind, consumer identifiers appear only as hashed values. Though relations are important, the structural links Customer TO Order History and Referral Flags without any gaps. Consistency arises from stability - data ties remain intact by design.

3.2. Data Acquisition and Knowledge Base Creation

In this step, there are two types of information of which one enters through a dedicated channel, while another passes through a separate path entirely. Their entry methods differ in structure and timing, still they are both handled by the same framework, in contrast, it only triggers when the second activates. They converge later within the core mechanism yet every route maintains its own rules.

Internal Fraud Information Collection Transactions

This dataset is derived from the purchase records of various e-commerce sites. The return pattern of the product along with the buyers' information is present in it. This knowledge-base is arranged systematically. It is essential to note that this dataset is a not live and it is to several seasons. The entries are neither manually entered nor registered. After the checks from the verification processes that ensure temporal consistency, the information enters into the structure. Each record represents the member of an ensemble derived as a result of past observations. It could be the result of automated logging from a sequence of purchase, review cycles. After each cycle, this size continues to grow.

A series of steps must be taken before the analysis begins on the raw inputs. It normalizes the numerical values within the pipeline. Encoded Representation Technique Used To Convert Categorical Fields. During processing, certain features are extracted, for example, frequency of return and average cost of item. The machine learning structure receives these outputs for further procedure.

Because fraudulent activity happens at much lower rates than valid activity, the synthetic data generation algorithm manipulates these proportions in each class. Thus, assumptions collected under one category will not influence the interpretation under a different category. This means we attain equilibrium by replication that is of structural kind and not of natural kind.

Market Intelligence Base Price Corpus

Live pricing data obtained from Amazon, eBay, Flipkart, and Myntra. A dedicated scraping process links each product SKU to many other platforms. The price tag, currency, and availability status are extracted using BS4. The information is stored temporarily through redis. Instant access for price comparison functionality has been activated. If you already scraped an item, wait at least 30 minutes after the last fetch

3.3. Module-Specific Implementation

Hybrid Refund Abuse Detection

The XGBoost model is first used on structured data, such as stated rates of returned orders. Subsequently, a neural architecture analyses the sequence of timed interactions. Instead of relying on just one technique, the results from these two stages combine according to weighted voting principles. Notifications are automatically sent to human

evaluators once the likelihood scores exceed thresholds. Through phases of joint analysis of distinct strength of the design arise.

Risk Quantification Module the RRP Engine

The customerID applies mathematical logic to calculate the percentage return rate. This alert gets activated when the (RRP) exceeds 40% value. Because of the threshold, the website identifies frequent returners without triggering a serious alarm.

$$RRP = \left(\frac{\sum Returned_Items}{\sum Total_Orders}\right) \times 100$$

Cross Platform Price Comparison Tool

This function helps with access and tracking of actions. Through FuzzyWuzzy comparison, matches are formed between items listed. The person seems to get a sorted summary of favorable options. Internal records capture how pricing influences decisions. This provides a more precise view of individual decision patterns over time. Although things appear consistent, subtle shifts in response can have profound long-term adjustments behind the scenes.

4. Results

4.1. Navigation Hub

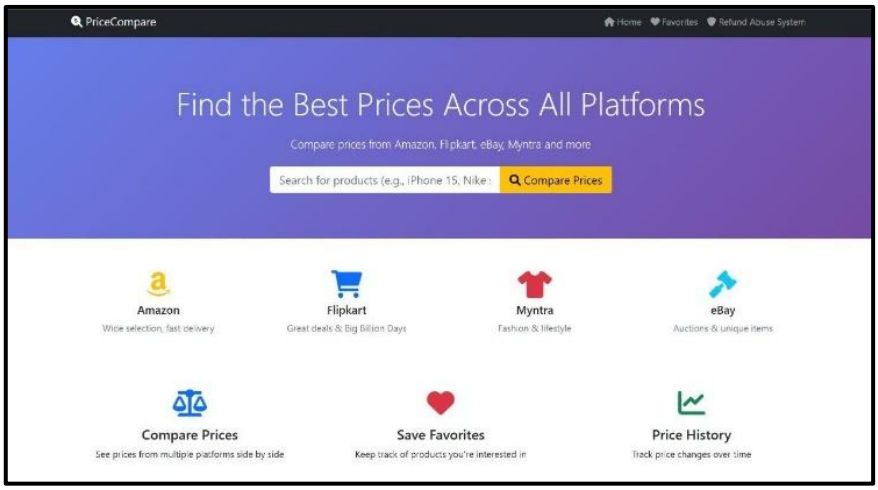

Figure 2 : Centralized Navigation Hub

A master screen at the top gives you options that spread out logically from the master screen. Using the tools feels intuitive, as everything exists inside discrete blocks that have padding inside and between them. One direction allows for price comparisons among different stores, while the other provides controls to identify refund abuse.

Therare other places of personal importance like saved favorites that are tucked away out of sight. There is a smooth and continuous transition from aid shopping to safety auditing.

4.2. Administrative Command Centre

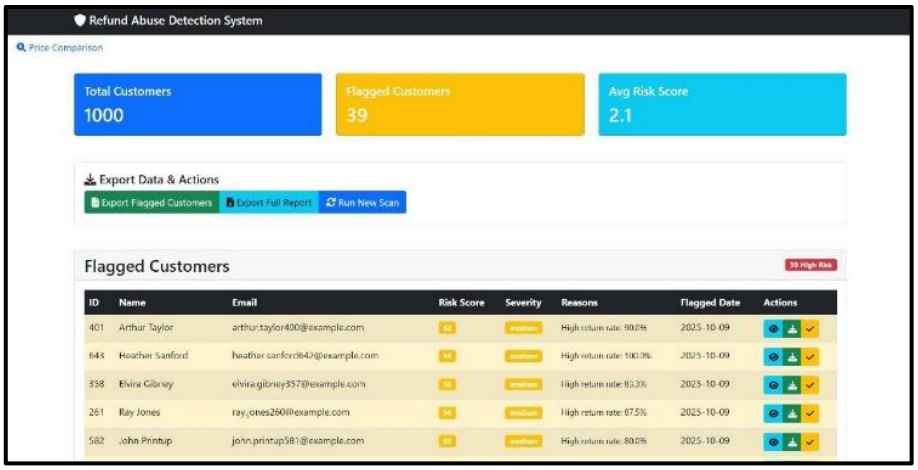

Figure 3 : Refund Abuse Detection System Dashboard

The far-right section of the admin screen portrays a zoomed-out perspective depicting the potential threat to the system. Beginning with the numbers we see overall stats that show total users at one thousand, thirty-nine flagged cases, with overall average danger flag at two point one. Below this, there is a Flagged Customers panel set up to run on RRP rules that reveals a lot more detail. We can see return rate from ½ to 87.8%. This causes an auto flag for warning but staff are allowed to pull up records for their own investigations if they feel that it is necessary.

4.3. Consumer Engagement Portal

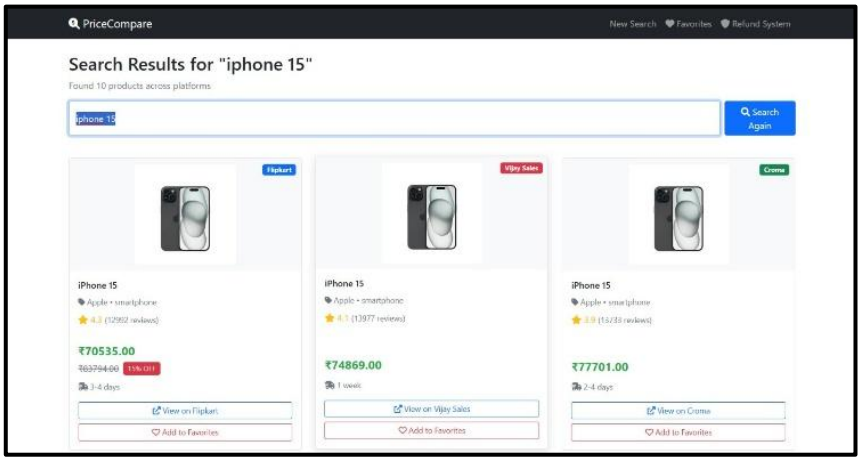

Figure 4 : Price Compare Search Landing Page

The far-right section of the admin screen portrays a zoomed-out perspective depicting the potential threat to the system. Beginning with the numbers we see overall stats that show total users at one thousand, thirty-nine flagged cases, with overall average danger flag at two point one. Below this, there is a Flagged Customers panel set up to run on RRP rules that reveals a lot more detail. We can see return rate from ½ to 87.8%. This causes an auto flag for warning but staff are allowed to pull up records for their own investigations if they feel that it is necessary.

5. Conclusion

Every security system has to have alarms. Instead of going behind fraud after it has been occurred, keeping watch over how user act reveals more vital information. A mixture of smart models - one which has accurate pattern recognition, another tuned for subtle shifts - works in the background. This combination of smart and subtle mechanism spots fraud lent returns using a clear number: how often someone is availing the money return policy. At the same time shoppers get help comparing prices across the internet. One part feeds info to another part while it oversees every move the person makes. Profit stays protected when model is trained enough. Trust between consumer and seller grows when friction fades.

Computer vision may be used in the future to verify the appearance of returned goods, identifying anomalies such as used clothing returned as brand-new. Smart summaries created by language models might provide investigators with more detailed images of cunning conduct rather than only forms. Live scanning of customer support interactions might reveal genuine annoyance as opposed to rule-gaming. The goal of these changes is to improve detection while maintaining honest results. When algorithms are able to read between the lines, deeper hints become apparent. Today, most tools overlook the minutiae that fraud lies in.

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Devansh Mane

(22106062)

Harshit Jain

(22106040)

Vedant Gandre

(22106011)